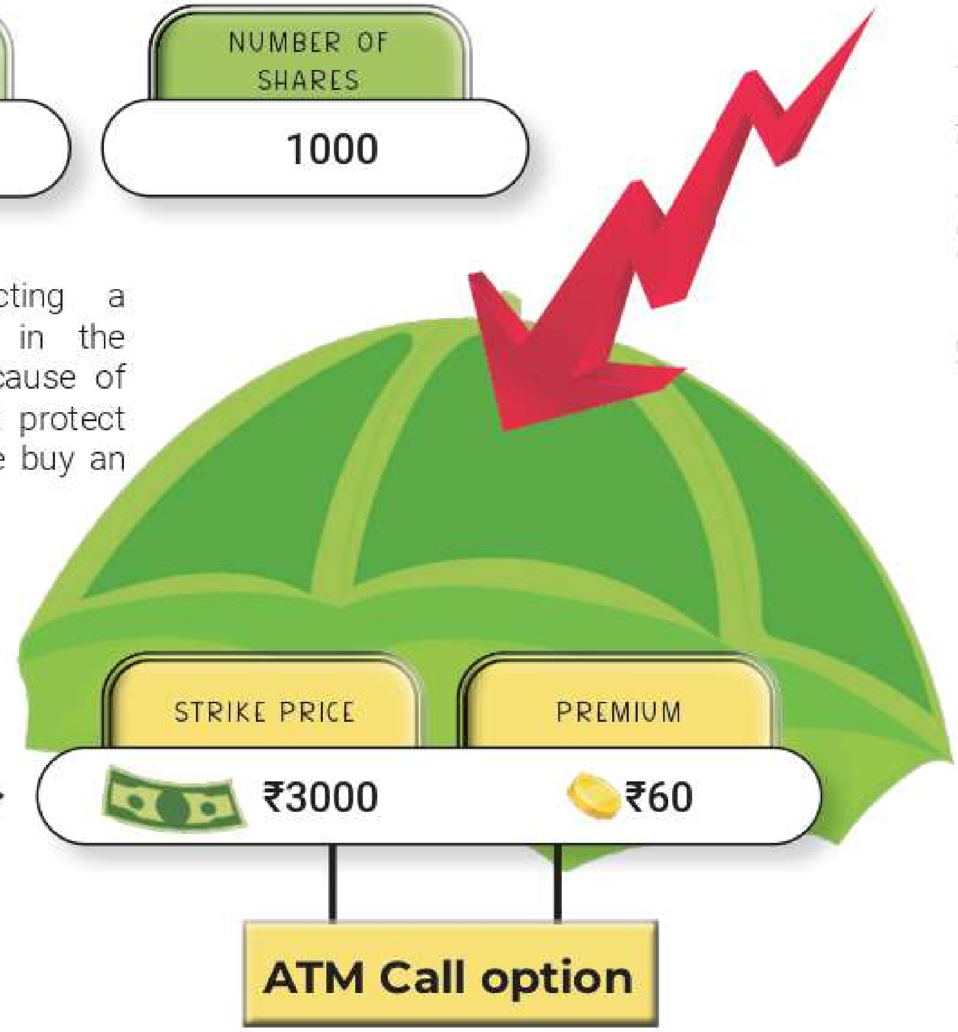
For example, suppose we are short on shares at (In India, you can not short shares which you can do in many developed markets, but you can short in Futures market) :

CURRENT MARKET PRICE	NUMBER OF SHARES
₹3000	1000

And we are expecting a temporary up move in the price of the stock because of some reason. Now, to protect ourselves from this, we buy an ATM call option at



MARKET PRICE ON EXPIRY	CALCULATION
₹3500	**PROFIT/ LOSS** = Profit/Loss from Short Selling + Profit/Loss from options = (₹3000- ₹3500) + (₹3500 -₹3000 - ₹60) = -₹500 + ₹440 = $\boxed{\text{-₹60}}$ MAXIMUM LOSS So, we can see that our net loss should have been ₹500 but due to the limited loss nature of the agreement, the total loss was limited to ₹60 which is the maximum loss.